

Summary

The gearing ratios highlight the dependence a company has on external funds and the extent to which liabilities finance the company. These ratios are extremely important for investors to consider while evaluating a company.

Debt Service Capacity

Debt is a source of finance which has become increasingly popular in recent years. Fifteen years ago few companies issued or offered convertible and non convertible debentures. Now, there are more debentures, of one kind or another being offered than equity. In this scenario, the investor must ascertain whether a company can service its debt through internally generated funds. Can it meet the principal and interest payments out of its profits? This of course is based on the assumption that the company is a profitable going concern and that debt will not be repaid through additional borrowings or rights and public issues of shares.